

Calendar Line 6

Case Name: *Gaspar v. Big T Supermarket, Inc.*

Case No.: 24CV433252

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiff Gustavo Enriquez Gaspar alleges defendant Big T Supermarket, Inc. committed various wage and hour violations.

Before the Court is Plaintiff’s motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

I. BACKGROUND

According to the allegations of the Complaint, Plaintiff worked as a clerk at Defendant’s market in San Jose. (Complaint, ¶ 9.) Defendant failed to: pay all wages; provide compliant meal periods or compensation in lieu thereof; provide compliant rest periods or compensation in lieu thereof; timely pay wages; furnish accurate wage statements; pay wages upon termination; and reimburse necessary business expenses.

Based on the foregoing, Plaintiff initiated this action on March 18, 2024, with the filing of the Complaint, with asserts the following causes of action: (1) failure to provide required meal period; (2) failure to provide required rest breaks; (3) failure to pay overtime wages; (4) failure to pay minimum wages; (5) failure to pay timely wages; (6) failure to pay all wages due to discharged and quitting employees; (7) failure to maintain required records; (8) failure to furnish accurate itemized statements; (9) failure to provide and properly calculate mandatory California sick leave; (10) failure to provide and properly calculate supplemental COVID-19 sick pay; (11) failure to indemnify employees for necessary expenditures incurred in discharge of duties; (12) unfair and unlawful business practices; and (13) PAGA penalties.

Plaintiff now seeks an order: granting preliminary approval of the Class Action and PAGA Settlement (the “Settlement”); approving the Class notice and its distribution to Class members; provisionally certifying the Class for settlement purposes; appointing Plaintiff as the Class representative; appointing Scott Ernest Wheeler and Justin A. Wheeler of the Wheeler Law Firm, APC, as Class Counsel; and setting a final approval hearing.

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense,

complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a

claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

III. SETTLEMENT PROCESS

On January 11, 2024, Plaintiff submitted his PAGA notice to the Labor and Workforce Development Agency (“LWDA”). On March 18, 2024, Plaintiff initiated the instant action. The parties agreed to participate in mediation and engaged in informal discovery. Defendant produced payroll information, sample wage statements and time records, and policies and procedures regarding Class members in addition to an Employee Handbook.

On September 18, 2025, the parties participated in a mediation session with Todd Smith, Esq. a highly experienced mediator, and they were able to reach a settlement. On January 23, 2026, the parties executed the Settlement currently before the Court.

IV. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$257,200. Attorneys’ fees of up to one-third of the gross settlement amount (\$85,647.60), litigation costs of up to \$18,000, and settlement administrator costs of \$8,250. \$10,000 will be allocated to PAGA penalties, 75% of which (\$7,500) will be paid to the LWDA and the remaining 25% (\$2,500) will be dispensed to “PAGA Members” who are defined as “any Class Member who was employed or has been employed by Defendant at any time during the time period of January 13, 2023, through December 17, 2025.”⁴ Plaintiff will seek a Class representative award of \$7,500.

The net settlement amount will be allocated to Class Members who are defined as “all non-exempt employees who were employed by Defendant, in the State of California, at any time from March 18, 2020 through December 17, 2025.” For tax purposes, 25% of each Class Member’s settlement payment will be allocated to wages and 75% will be allocated to interests and penalties. Defendant will pay the employer side payroll taxes separate and apart from the Settlement. Funds associated with checks uncashed after 180 days will be transmitted to Legal Aid at Work’s Wage Protection Clinic.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all claims, debts, liabilities, demands, obligations, guarantees, costs, expenses, attorneys’ fees, damages, or causes of action contingent or accrued for, that are pleaded, or that could have been pleaded, based on the facts and claims alleged in the Operative Complaint, including any claims for: (a) failure to provide required meal periods and pay premium payments, California Labor Code §§ 226.7, 510, 512, and 558; (b) failure to provide required rest periods and pay premium payments, California Labor Code §§ 226.7 and 512; (c) failure to pay overtime wages, California Labor Code §§ 510, 1194 and 1198; (d) failure to pay minimum wages, California Labor Code §§ 1194 and 1197; (e) failure to timely pay wages §§ 204 and 210; (f) failure to timely pay all wages during employment and to discharged and quitting employees, California Labor Code §§ 201-203; (g) failure to maintain required records, California Labor Code §§ 226 and 226.3; (h) failure to furnish accurate, itemized wage

⁴ Class Counsel uses the term “Aggrieved Employees” in the motion, however, the Settlement uses “PAGA Member(s)” thus, the Court will use the latter.

statements, California Labor Code §§ 226 and 226.3; (i) failure to provide and properly calculate mandatory California sick leave, California Labor Code §§ 246 and 247.5; (j) failure to provide sick leave and Supplemental COVID-19 Sick Leave, California Labor Code §§ 246, 247.5, 248.1, 248.2 and 248.6; (k) failure to indemnify for reasonable and necessary business expenses; California Labor Code § 2802; and (l) unlawful business practices under California, Business and Professions Code § 17200, et seq.; predicated on any of the violations of the California Labor Code and IWC Wage Order 7-2001, as alleged in the Operative Complaint including but not limited to, claims for restitution and other equitable relief, liquidated damages, or penalties; and any other benefit, wages, penalties, or other amounts claimed on account of the allegations asserted or which could have been asserted in the Operative Complaint and Plaintiff's LWDA Notice dated January 11, 2024.

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for statutory penalties only that could have been sought by the Division of Labor Standards and Enforcement ("Labor Commissioner") for the violations identified by Plaintiff's pre-filing Notice to the Labor and Workforce Development Agency ("LWDA") dated January 11, 2024, only.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

V. FAIRNESS OF SETTLEMENT

Based on available data provided by Defendant, Class counsel engaged an expert to calculate Defendant's maximum exposure which is as follows: \$64,550.32 (meal period claim); \$19,789 (failure to pay all wages-off the clock work); \$1,672 (failure to pay all wages-regular rate of pay); \$288,000 (wage statement violations); \$208,341.60 (failure to pay wages upon separation); and \$484,300 (PAGA penalties)—totaling \$1,066,652.92.

The gross settlement amount is approximately 24% of the maximum exposure, which is within the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the settlement achieves a good result for the class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the class, and the PAGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

VI. PROPOSED SETTLEMENT CLASS

Plaintiff requests that the following settlement class be provisionally certified:

All non-exempt employees who were employed by Defendant, in the State of California, at any time from March 18, 2020 through December 17, 2025.

A. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

B. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*).) A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official

records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 170 Class members are readily identifiable based on Defendant’s records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

C. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claims all arise from Defendant’s wage and hour practices and policies regarding reimbursement for business related expenses.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medraza v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed class, Plaintiff was employed by Defendant as a non-exempt employee and alleges that he experienced the violations at issue. The anticipated

defenses are not unique to Plaintiff, and there is no indication that Plaintiff's interests are otherwise in conflict with those of the proposed class.

Finally, adequacy of representation “depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class.” (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) “Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status.” (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class member would have. Further, he has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

D. Substantial Benefits of Class Certification

“[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . .” (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid.*) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 170 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

VII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and

the basic terms of the Settlement; a statement that the court will exclude the member from the class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 60 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santacleara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected Phoenix Class Action Administration Solutions (“Phoenix”) as the Settlement administrator. No later than 10 days after preliminary approval, Defendant will deliver the Class data (i.e., Class list and related qualifying workweeks and contact information) to Phoenix. Phoenix, in turn, will mail the notice packets within 10 days of receiving the Class data. Any returned notices will be re-mailed within 10 days to any forwarding address provided. If no forwarding address is found, Phoenix shall conduct an investigation for one and if one is found, Phoenix shall re-mail the notice within 7 days. Class members who receive a re-mailed notice will have 45 days after the postmark date of the re-mailed notice to respond. These notice procedures are appropriate and are approved.

VIII. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests an enhancement payment of \$7,500.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant “reputational risk” in bringing an action against an employer].)

Plaintiff submitted a declaration in support of his request. He states he spent approximately 26 hours on this action, including locating and reviewing documents in support of his claims, communicating with Class Counsel, helping with preparation for mediation, and reviewing the Settlement. (Plaintiff's Decl., ¶¶ 13-14, 17-21, 25.) He further states that he considered the personal, professional, and financial risk of participating in this action as the named plaintiff. (Plaintiff's Decl., ¶¶ 10-11.) The Court finds Plaintiff is entitled to a service award and the amount requested is reasonable. Thus, Plaintiff's request is preliminarily approved.

The administrative costs in the amount of \$8,250 is supported by the declaration of Jodey Lawrence, President of Business Development for Phoenix. Thus, it is approved.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class counsel will seek attorneys' fees of up to one-third of the gross settlement amount (currently estimated to be \$85,647.60), and litigation costs for up to \$18,000. Prior to any final approval hearing, Class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

IX. CONCLUSION

Plaintiff's motion for preliminary approval is GRANTED.

The final approval hearing shall take place on December 3, 2026 at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All non-exempt employees who were employed by Defendant, in the State of California, at any time from March 18, 2020 through December 17, 2025.

The Court will prepare the order.

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Calendar Line 7

Case Name: *Richard Haynie, et al. v. Google LLC, et al.*

Case No.: 24-CV-446330

This is a putative class action. Plaintiffs Richard Haynie and Constance Adler Galloway (collectively, “Plaintiffs”) allege Defendants Google LLC and YouTube LLC (collectively, “Defendants,” or “Google”) discriminated against older Californians by excluding them from receiving advertisements about insurance, banking, and other financial opportunities. The court sustained Defendants’ prior demurrer with leave to amend. Presently before the court is Defendants’ demurrer to Plaintiffs’ Second Amended Complaint.

As discussed below, the court **OVERRULES** the demurrer.

I. BACKGROUND

Plaintiffs allege that they and others similarly situated experienced age discrimination in violation of the Unruh Civil Rights Act (“Unruh Act”) because of Defendants’ use of “demographic targeting” in insurance, banking, and other financial opportunity-related advertising.

At the time of the filing of the original complaint, Haynie was a 66-year-old man who has used and interacted with Defendants’ online platforms to learn about a range of information, including information on insurance, banking, and other financial opportunities, while logged into his Google and Gmail accounts. (SAC, ¶¶ 18-20.) Over the past three years, he has owned a car for which he had car insurance, he has had bank accounts, retirement investments, and other investments, and he has purchased travel insurance. (SAC, ¶ 21.) However, during that time he has been routinely denied advertisements for insurance, banking, and other financial opportunities on Defendants’ online platforms because he is an older person and because Defendants and advertisers on Defendants’ online platforms excluded Haynie and other older Californians from receiving the advertisements. (*Id.*) Haynie alleges that he provided his date of birth to Defendants because he was required to do so when registering an account. (SAC, ¶¶ 74-75.) He further alleges that Defendants used his date of birth information for targeted advertising which resulted in him being unable to view insurance and banking ads for products that he would have been interested in, including advertisements from Amica Insurance and BMO Alto, and that on information and belief, he did not see those advertisements in a different form. (SAC, ¶¶ 73-84.) Haynie states that because he was unable to see those ads, he did not learn of services he was searching for and was excluded from cost savings. (SAC, ¶ 81.)

At the time of the filing of the First Amended Complaint, Adler Galloway was a 63-year-old woman, who has used and interacted with Defendants’ online platforms to learn about a range of information, including information on insurance, banking, and other financial opportunities while logged into her Google and Gmail accounts. (SAC, ¶¶ 22-24.) During the past three years, Adler Galloway has owned a car for which she has car insurance, and has been routinely denied advertisements for insurance, banking, and other financial opportunities on Defendants’ online platforms because she is an older person and because Defendants and advertisers on Defendants’ online platform excluded Adler Galloway and other older Californians from receiving advertisements for insurance, banking, and other financial opportunities services she

was interested in, including for specific services like Nerdwallet and Lemonade. (SAC, ¶¶ 25, 92, 96.) She further alleges that Defendants used her date of birth information for targeted advertising which resulted in her being unable to view ads for products that would have offered her a financial benefit, including an advertisement for The Zebra for car insurance comparisons and an age-targeted advertisement for State Farm for car insurance. (SAC, ¶ 91.) Adler Galloway states on information and belief that she did not see those advertisements in a different form. (*Id.*) Adler Galloway states that because she was unable to see those ads, she did not learn of services she was searching for and was excluded from cost savings. (SAC, ¶ 93.)

Plaintiffs allege that Defendants use “Sponsored” results or paid ads to display search results to users in their Google Search and on YouTube. (SAC, ¶¶ 37-38.) Defendants do not show the same results to older users that they show to younger people because advertisers direct Defendants not to show their paid ads to people above a certain age range and Defendants have implemented the direction. (SAC, ¶¶ 39- 41.) Plaintiffs further allege that the Google Display Network (“Google Display”) provides a way for advertisers to reach potential customers across 35 million websites and apps. (SAC, ¶ 42.) Through Google Display, an advertiser pays Defendants to display its advertisement on various websites or to Defendants’ users when they use YouTube or Gmail, Defendants pay websites to host the advertisements that Google Display displays on those websites. (*Id.*) Google Display does not show the same result to each user because the advertisers had directed Defendants not to show its paid ads to people above a certain age range and Defendants have implemented that direction. (SAC, ¶ 43.)

Based on the foregoing, Haynie initiated this action on August 30, 2024, which asserts claims for (1) age discrimination in violation of Unruh Civil Rights Act (Civil Code, §§ 51, 52, subd. (a)); and (2) age discrimination in violation of Civil Code § 51.5 and 52, subdivision (a)). On January 29, 2025, Plaintiffs filed the FAC, which added Adler Galloway as a plaintiff. On November 5, 2025, Plaintiffs filed the SAC, which added facts about Plaintiffs’ injuries.

II. DEMURRER

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice.” (*Mathews v. Becerra* (2019) 8 Cal.5th 756, 762 , internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) The court in ruling on a demurrer treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

“It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.)

B. Discussion

1. Plaintiffs' Standing

The Unruh Act acts as “a bulwark protecting each person’s inherent right to “full and equal” access to “all business establishments.” (*Angelucci v. Century Supper Club* (2007) 41 Cal.4th 160, 175, internal citations omitted.) The Unruh Act states that all Californians “are entitled to the full and equal accommodations, advantages, facilities, privileges, or services in all business establishments of every kind whatsoever.” (Civ. Code § 51.) To prevail on an Unruh Act claim, a plaintiff must allege that a business’s policy discriminated against him or her, or that the plaintiff was a member of the class discriminated against. (See *Midpeninsula Citizens for Fair Hous. v. Westwood Invs.* (1990) 221 Cal.App.3d 1377, 1386, reh’g. den. July 31, 1990; *Angelucci, supra*, at 175.) The Unruh Act further states that “[n]o business establishment ... shall discriminate against, boycott or blacklist, or refuse to buy from, contract with, sell to, or trade with any person in this state on account of” a plaintiff’s protected status. (Civ. Code § 51.5.)

Defendants demur on the basis that each of the two causes of action set forth in the Second Amended Complaint fails to allege facts sufficient to constitute a cause of action pursuant to Code of Civil Procedure section 430.10. In the court’s prior order sustaining the Defendants’ demurrer to Plaintiffs’ First Amended Complaint with leave to amend, the court identified three deficiencies in Plaintiffs’ complaint: (1) that Plaintiffs did not specifically allege how Google knew Plaintiffs’ ages or dates of birth; (2) that Plaintiffs did not allege a concrete injury; and (3) that Plaintiffs did not present specific facts about the ads that they did not see due to their ages.

First, the SAC alleges that Plaintiffs were required by Defendants to disclose a date of birth (and thus an age) when creating Google and Gmail accounts, that each Plaintiff disclosed his or her date of birth, and that each was signed into a Google and Gmail account while searching on Google. (SAC, ¶¶ 74, 75, 85-86.) These facts sufficiently allege how Google knew Plaintiffs’ ages.

Defendants seek to undermine this point by arguing that Plaintiffs’ fail to allege they could not opt out of having their ages used for ads and seek judicial notice of a Google website about providing a date of birth when making an account. The court denies the request for judicial notice of Exhibit E on the basis that the document is not properly subject to judicial notice.

The court may take judicial notice of facts that are “not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.” (Evid. Code § 452, subd. (h).) Defendants point to two cases to support the proposition that courts have taken judicial notice of website content under subdivision (h), but neither persuades this court to take judicial notice of what Defendants propose. One case takes judicial notice of a website as reference material to clarify the language of a statute. (*In*

re Gilbert R. (2012) 211 Cal.App.4th 514, 519, n.1 [referencing an article on the American Knife and Tool Institute’s website defining knife mechanisms in order to determine if a statute bars possession of a particular switchblade]]. In the other case, the court did not take judicial notice in a manner analogous to this case; rather, the court took judicial notice of the JAMS arbitration rules (on its own motion) and held that it was properly subject to judicial notice because the rules were not reasonably subject to dispute and could be immediately and accurately determined by going to the JAMS website. (*Vo v. Tech. Credit Union* (2025) 108 Cal.App.5th 632, 640.) It was not the case that the court wholesale took judicial notice of the JAMS webpage itself – instead, it took judicial notice of the *rules* governing arbitration procedures because the website could be used to verify the rules.

The webpage Defendants seeks judicial notice of is not third-party reference material: it is a document authored by and hosted on Google’s website and purports to prove facts that parties dispute (specifically, if Google users can opt out of providing a date of birth when registering accounts). Plaintiffs allege that providing a date of birth is required for making a Google account, thus arguing that a user cannot opt out. (SAC, ¶¶ 74, 75, 85-86.) Defendants allege that is false. (Demurrer, p. 11.) Exhibit E is not a proper subject for judicial notice because it does not elucidate the matter: it does not explicitly state if Google users could opt out of providing a date of birth at the time Plaintiffs registered their accounts. The court denies the request for judicial notice of Exhibit E because the facts in the document are reasonably subject to dispute and thus not a proper subject for judicial notice.⁵

Moreover, the ability of the Plaintiffs to opt out of providing a date of birth during account registration is not determinative at this stage. Defendants read a requirement into precedent and this court’s prior order that users be unable to opt out of providing information to survive demurrer, but the court does not agree with this interpretation. Plaintiffs’ argument is that Google used information they provided to Google in a discriminatory fashion. Plaintiffs do not need to prove they were required to provide that information; even if they were not required to, Plaintiffs have alleged that they disclosed that information. In alleging they provided date of birth information to Google during account registration, Plaintiffs sufficiently alleged how Google knew their ages and dates of birth and thus alleged one of the facts for stating a claim of discrimination.

⁵ The court notes the arguments raised by Defendants in their Reply about Exhibit E being incorporated by reference in the SAC. Defendants cite a case from the Ninth Circuit Court of Appeals to support the proposition that it is appropriate for a court to consider documents incorporated by reference at the motion to dismiss demurrer stage where “plaintiff’s claim depends on the contents of a document, the defendant attaches the document to its motion to dismiss, and the parties do not dispute the authenticity of the document, even though the plaintiff does not explicitly allege the contents of that document in the complaint.” (*Knievel v. ESPN* (9th Cir. 2005) 393 F.3d 1068, 1076.) Defendants also cite to two binding California cases in which the court took judicial notice of a page available in a hyperlink but neither provides guidance in the instant action. (*InSyst, Ltd. v. Applied Materials, Inc.* (2009) 170 Cal.App.4th 1129, 1133-1134 [taking judicial notice of a hyperlink in a filing notice email sent to parties’ attorneys in order to determine if an appeal was timely filed]; *In re Forchion* (2009) 198 Cal.App. 4th 1284 [taking judicial notice of a website entitled “NJweedman.com” and everything hyperlinked on that website where petitioner sought to legally change his name to Njweedman.com].) The court finds the federal case persuasive but nonetheless concludes that because Plaintiffs dispute the authenticity of the document, judicial notice is not appropriate under incorporation by reference doctrine. (Plaintiffs’ Opposition to Defendants’ Request for Judicial Notice, p. 10 [“Google’s Request does not state when Exhibit E was captured, whether the website in Exhibit E was unchanged during the 2021-to-present class period, or whether Google’s user registration page linked to the content in Exhibit E during the entire class period.”].)

The SAC corrects the second and third deficiencies highlighted in this court’s prior order. Plaintiffs’ new allegations in the SAC are that they searched for information on banking, insurance, and other financial opportunities while logged into Google accounts; that timely action is required for insurance, banking and financial opportunities; and that Plaintiffs suffered the loss of the opportunity to compete for the same opportunities as those not in their protected class. (SAC, ¶¶ 101-103.) Precedent establishes that the loss of financial opportunities via exclusion from targeted ads can be an injury for the purposes of establishing standing under the Unruh Act. (*Liapes v. Facebook, Inc.* (2023) 95 Cal.App.5th 910, 921 (*Liapes*) [finding that Plaintiff “actually suffered discrimination” because “she was deprived of information regarding insurance opportunities despite being ready and able to pursue those opportunities.”].) The SAC also includes new allegations that there were specific advertisements about financial opportunities that Plaintiffs did not see due to their ages, such as those of Amica Insurance, BMO Alto, The Zebra, and State Farm, that on information and belief, they did not receive parallel ads with the same information, and that they lost out on financial benefits due to not seeing those ads. (SAC, ¶¶ 73-84, 91, 93.) Plaintiffs, like the plaintiff in *Liapes*, identified several insurance ads they did not receive because they were “expressly outside the ... parameters for age ... thus requiring [them] to independently search for insurance opportunities.” (*Liapes, supra*, 95 Cal.App.5th at p. 923.) Plaintiffs have sufficiently alleged similar enough facts to *Liapes* to also have standing.

2. Arbitrary and Invidious Standard

Defendants argue in their Demurrer that Plaintiffs failed to allege that Defendants’ conduct is arbitrary and invidious discrimination within the meaning of the Unruh Act, and moreover that their targeted advertising is guided by legitimate business interests.

The Unruh Act prohibits “only *arbitrary, invidious or unreasonable discrimination*.” (*Javorsky v. Western Athletic Clubs, Inc.* (2015) 242 Cal.App.4th 1386, 1395, quoting *Sargoy v. Resolution Trust Corp.* (1992) 8 Cal.App.4th 1039, 1043, emphasis in original.) An otherwise prohibited “discriminatory practice” will be upheld as reasonable, and therefore not arbitrary, “when there is a strong public policy in favor of such treatment.” (*Candelore v. Tinder, Inc.* (2018) 19 Cal.App.5th 1138, 1153, internal citations omitted.) For example, “exclud[ing] children from bars or adult bookstores because it is illegal to serve alcoholic beverages or to distribute ‘harmful matter’ to minors...is not arbitrary because it is based on a ‘compelling societal interest’ and does not violate the Act.” (*Koire v. Metro Car Wash* (1985) 40 Cal.3d 24, 31, internal citations omitted.)

Defendants argue that there is a strong public policy in favor of targeted advertising based on age, pointing to statutes and regulations contemplating or requiring different treatment in insurance policies based on age. (Code Regs. tit. 10, § 2248.37; Ins. Code §§ 11628.3, subd. (a), 10509.8, subd. (a).) However, these statutes support the proposition that businesses can treat customers differently based on age with respect to pricing. Plaintiffs do not challenge differential *pricing* based on age – rather, they challenge differential *advertising* based on age. Plaintiffs argue that because of age, they lost financial opportunities due to not seeing the same ads as others not in their protected class. (SAC, ¶¶ 81, 91.) Thus, these statutes do not foreclose the claims in this case. Defendants also argue that there are legitimate business interests in protecting investments in advertising, but “a business’s interest in maximizing profits is insufficient to justify discrimination based on an individual’s *personal characteristics*.” (*Candelore, supra*, at p. 1154, internal citations omitted.) The SAC’s

allegations do not compel the finding that there is a public policy reason why older consumers searching for information about insurance, banking, and other financial products should be treated differently from younger consumers.

Defendants seek judicial notice of Exhibits A through D to Defendants' Request for Judicial Notice in Support of Demurrer. Defendants state that Exhibit A is a copy of Ethos Life Insurance's webpage entitled "Our Online Life Insurance Policies." Defendants state this document is publicly available and include a link to a webpage, but following the link leads to a 404 error message. Because Exhibit A is evidently not a publicly available document, the court denies Defendants' request for judicial notice of Exhibit A. As for Exhibits B through D, Defendants seek judicial notice of those documents "as examples of the simple, uncontroversial fact that companies that offer insurance, banking, and other financial services often treat customers differently based on their age... illustrat[ing] the obvious point that people in different age groups have different insurance, banking, and financial needs and preferences." (Defendants' Reply in Support of Request for Judicial Notice, p. 1, internal citations omitted). The court grants Defendants' requests for judicial notice of Exhibits B through D to Defendants' Request for Judicial Notice In Support of Demurrer only for the fact of each Exhibit's existence and not for the truth of the contents of the Exhibits, as "[t]he contents of ... Web sites ... are 'plainly subject to interpretation and for that reason not subject to judicial notice.'" (*Ragland v. U.S. Bank Nat. Assn.* (2012) 209 Cal. App. 4th 182, 194, internal citations omitted.) The court takes judicial notice of the fact that some banking, insurance, and other financial services have different products tailored for different age groups. The court does not take judicial notice of the fact that people in different age groups have different insurance, banking, and financial needs and preferences, as that fact is not proven by Exhibits B through D; Exhibits B through D do not show what customers need or prefer, but rather what some businesses offer some customers. Nevertheless, as explained above, the fact that some banking, insurance, and other financial services treat some customers differently with respect to pricing does not foreclose Plaintiffs' claims because Plaintiffs challenge differential advertising, not differential pricing.

Finally, although the *Liapes* court did not address the issue of arbitrary and invidious discrimination, it nonetheless demonstrates that a plaintiff can allege an Unruh Act violation by presenting facts analogous to the instant action. In *Liapes*, the court stated that: "on demurrer, the critical issue here is whether Liapes sufficiently alleged Facebook's ad platform discriminates against a protected class, such as women and older people, even if in pursuit of those legitimate business goals. We conclude she has." (*Liapes, supra*, 95 Cal.App.5th at p. 925.)

Defendants have not shown that the alleged discrimination is not arbitrary and invidious as a matter of law such that the demurrer can be sustained on this ground.

3. Immunity Under United States Code, Title 47, Section 230

Defendants argue in their demurrer that Plaintiffs' claims are barred by section 230 of Title 47 of the United States Code ("Section 230"). Defendants argue in their demurrer with respect to Section 230 liability that "what matters is whether Google's neutral tools, available to advertisers around the world, can be used only unlawfully" or whether Google specifically encouraged advertisers to use those tools unlawfully. (Defendants' Reply in Support of Demurrer, p. 10).

Generally, websites cannot be held liable for content created by third parties, including in state court. (47 U.S.C. § 230(c)(1); 47 U.S.C. § 230(e)(3).) Websites cannot disclaim liability from discriminatory content on their websites where that website is an “information content provider – that is, someone ‘responsible in whole or in part, for the creation or development’ of the content at issue.” (*Fair Hous. Council v. Roommates.com, LLC* (9th Cir. 2008) 521 F.3d 1157, 1163 (*Fair Hous. Council*), quoting 47 U.S.C. § 230(f)(3).) In assessing if a website has acted as an “information content provider,” the court determines if that website’s actions “contribute[d] materially to the alleged illegality of the conduct.” (*Vargas v. Facebook, Inc.* (9th Cir. Oct. 13, 2023, No. 21-16499) 2023 U.S. App. LEXIS 27288, quoting *Fair Hous. Council, supra*, at p. 1168.)

In *Vargas*, the Ninth Circuit Court of Appeals found Facebook liable for content posted on its platform because the platform “identified persons in protected categories and offered tools that directly and easily allowed advertisers to exclude all persons of a protected category.” (*Vargas, supra*, at *9.) The court determined that Facebook “contributed materially” to ads on its platform by allowing advertisers to exclude persons in a wide range of categories, holding: “whether by the user’s direct selection or by sophisticated inference, Facebook determines the user’s membership in a wide range of categories, and Facebook permits housing advertisers to exclude persons in those categories.” (*Id.* at *7.)

Plaintiffs allege that the Google Ads platform requires advertisers to identify the audience of the ad, including “the age range of users who will receive their ads,” and that “Defendants encourage, recommend, and permit advertisers to narrow the age demographic audience of their ads so that only people within a certain age range will receive certain ads and people outside that age range will not receive those ads.” (SAC, ¶¶ 44, 45.) Like in *Vargas*, Google created categories or demographics that advertisers could select to advertise, assigned users to the categories, and then gave advertisers the options to exclude some users based on those categories.⁶ Plaintiffs have alleged sufficient facts to support a claim that Google acts as a co-developer with respect to some ads in a manner similar to Facebook in *Vargas*.

Defendants also argue that their tools can be used neutrally or unlawfully, and that Defendants should not be liable for bad actors’ unlawful use of their tools. The court in *Vargas* was unpersuaded by a similar argument made by Facebook that its tools were used neutrally or not unlawfully by other advertisers in other contexts: “a patently discriminatory tool offered specifically and knowingly to housing advertisers does not become ‘neutral’ within the meaning of this doctrine simply because the tool is also offered to others.” (*Vargas, supra*, at *10.) Plaintiffs allege that Google encourages advertisers using Google Ads to use age-based demographic targeting. (SAC, ¶¶ 56-58.) While Plaintiffs do not allege that Google encouraged specifically insurance, banking, and other financial advertisers to use age-based demographic targeting, they do allege that Google knew that its tools could be used unlawfully in the housing, employment, and certain consumer financial contexts and took action to prevent those unlawful uses. (*Id.*, ¶¶ 60-62). By alleging that Google knew its neutral tools could be used

⁶ Defendants argues that this case must be distinguished from *Vargas* because Google users can opt out of being assigned to categories based on age. As explained above, regardless of if that fact is true, Plaintiffs have alleged that they did not opt out and disclosed their age and then experienced discrimination, thus sufficiently pleading that they experienced discrimination.

unlawfully in similar contexts and chose not to act in this context, Plaintiffs have sufficiently alleged that like in *Vargas*, Google offered its tools “specifically and knowingly” to advertisers who could discriminate.

As with Defendants’ request for judicial notice of Exhibit E, the court denies the Defendants’ request for judicial notice of Exhibit F on the basis that the document is not an appropriate subject for judicial notice. Defendants state in their Reply in Support of Request for Judicial Notice that “Exhibit F reflects that Google prohibits advertisers from targeting ads in any way that does not comply with applicable law.” Plaintiffs dispute this fact. (Plaintiffs’ Opposition to Defendants’ Request for Judicial Notice, p. 10-11 [“just because Google’s website states that advertisers are required not to discriminate in their advertising does not mean that Google actually requires such compliance or prohibits it.”].) The facts in the document are reasonably subject to dispute and thus not a proper subject for judicial notice.

Defendants have not shown that the Plaintiffs’ claims are barred by Section 230 such that the demurrer can be sustained on this ground.

III. CONCLUSION

Defendants’ demurrer is OVERRULED.

The court will prepare the Order.

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